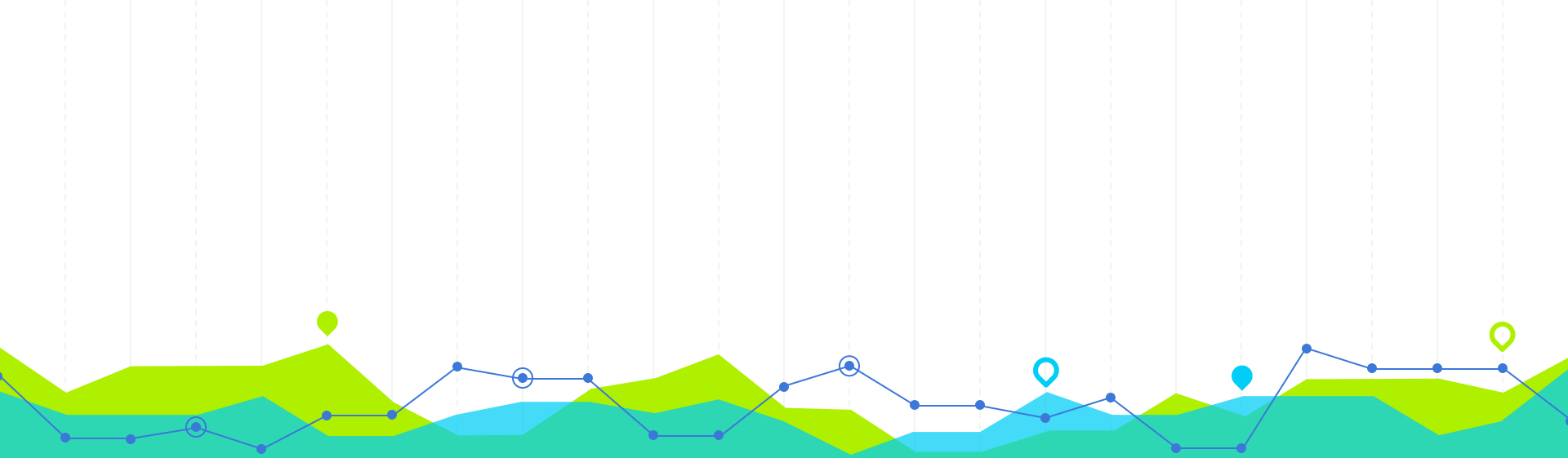
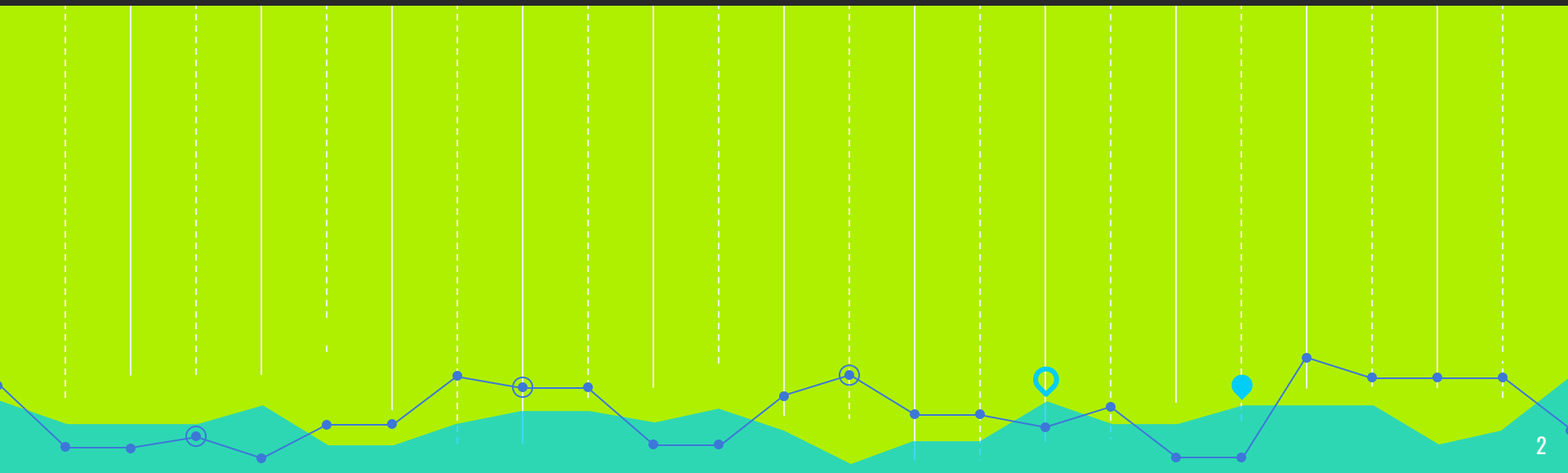




ShARE <> Rethynk

Market Entry - D2C



Introduction

Market Size

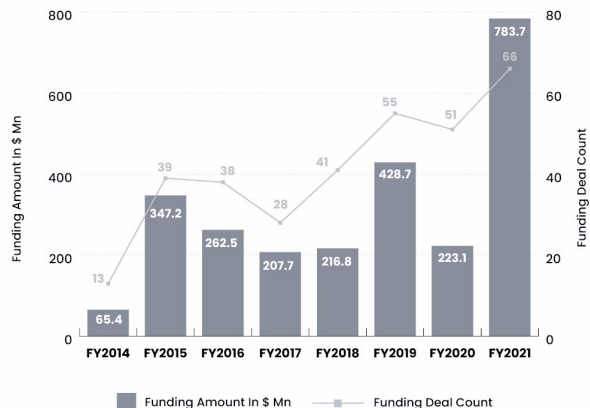
- Market Size of D2C products in India - \$44.6B
- Market Size of Eco-Friendly Products - \$10.32
- Number of eco-friendly D2C brands in India - 800

Scope of this Presentation

- Identifying potential Customers
- Redefining Value Chain
- Understanding of the competitive landscape
- SWOT analysis
- Recommendations

D2C Startup Funding Grows 251% In 2021

The number of funding deals rose by 29.4% in 2021 compared to 2020



Note: Funding Data till 31st July, 2021 is considered

Source: Inc42 Plus

Inc42

Target Market



User Persona: Sarah is a 24 year old software developer in Bangalore. Sarah is very active on social media. For a very long time she has been influenced by various social media movements like black lives matter, go green. She believes she is a responsible human being and takes all feasible actions to ensure that.

User Characteristics:

Age: Millennials and Gen-Z are more influenced by the 'woke' culture and are bound to more receptive to buying eco-friendly products.

Geography: The western influence is more in tier-1 and some tier 2 cities. The education environment in these cities promote usage of eco-friendly and sustainable products.

Income: People with disposable income are more likely to buy eco-friendly products as they do not take the price difference into account while purchasing.

Social Media Usage: Social media usage decreases the barrier to entry in many cases as influencers often back eco-friendly products.

Background Data

- As per the research study by TerraChoice there has been a 73 percent growth in the eco-friendly product market in the last 5-7 years.
- Goldman Sachs also predicted 5 years back that the Indian organic personal care will grow to about Rs.1000 crore.
- As per a blog by OKCredit, 86 percent Indian's take sustainability and eco-friendliness of a product before making a purchase.
- However only 44 percent buy these products. This gap is because of the higher prices affiliated with organic products..
- 72 percent of these purchases are made from the age group of 25-35.
- Despite intentions to be sustainable around 68 percent consumers are not fully aware of sustainability.
- According to a survey by 'the better india' only 27 percent of the respondents are able to find alternatives which minimize their use of plastic.



Value Chain

Production

Distribution

Customer Pull



Production

	Product	INR Landing Cost	Manufacture Cost in India	Average selling cost	Recommended Price
1	Collapsible Bottles	341	200/180	499	450-500
2	Collapsible Cups	290	200	376	350-450
3	Collapsible Cutlery	445	350	700	650-800
4	Collapsible Straws	160	150	299	200-300
5	Makeup Wipes	252	280	699/16pc	450/10pc
6	Reusable Toothbrush (Aluminium Base + 1 bamboo head)	120	-	199	199
7	Reusable Toothbrush Replacement Heads (Set of 2)	110	48	149	149

Production

	Product	INR Landing Cost	Recommended Price	Gross Margin (%)	Marginal (%)	Net Margin including CAC/(LTV/AOV)
1	Collapsible Bottles	341	450-500	39.29	-198	19.06
2	Collapsible Cups	290	350-450	37.93	-194	8.27
3	Collapsible Cutlery	445	650-800	57.3	-212	42.69
4	Collapsible Straws	160	200-300	56.25	-135	24.62
5	Makeup Wipes	252	450/ 10pc	78.57	-227	51.98
6	Reusable Toothbrush (Aluminium Base + 1 bamboo head)	120	199	65.83	-232	27.5
7	Reusable Toothbrush Replacement Heads (Set of 2)	110	149	35.45	-214	-2.72

Distribution (Shiprocket) Fulfillment



500-3000

Monthly Orders

Inbound Cost ⓘ	Rs. 3000
Outbound Cost ⓘ	Rs. 6000
Packaging Cost ⓘ	Rs. 2000
Per order cost ⓘ	Rs. 22

Note:

30 day storage is free in all the tiers on inbound, post which monthly storage fee will be charged on the unprocessed units based on the tier.



3000-10000

Monthly Orders

Inbound Cost ⓘ	Rs. 17495
Outbound Cost ⓘ	Rs. 31491
Packaging Cost ⓘ	Rs. 13996
Per order cost ⓘ	Rs. 18

Note:

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10000+

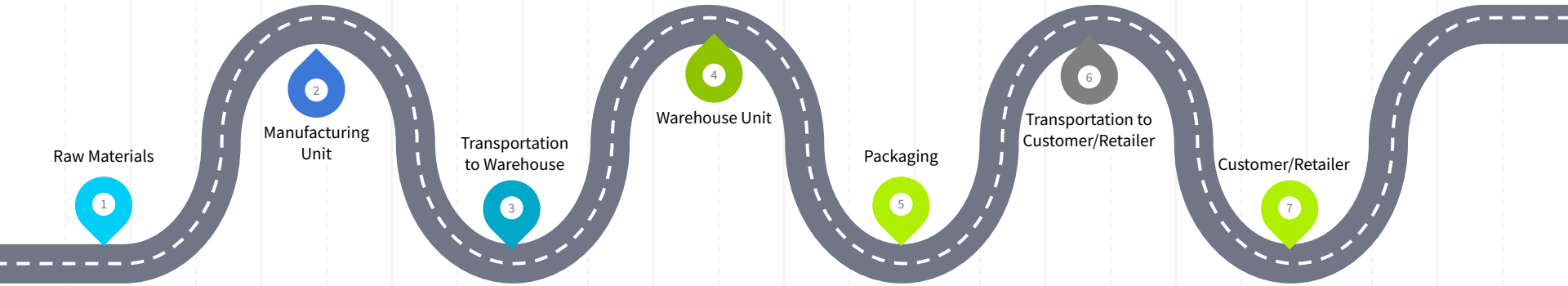
Monthly Orders

Inbound Cost ⓘ	Rs. 40004
Outbound Cost ⓘ	Rs. 70007
Packaging Cost ⓘ	Rs. 40004
Per order cost ⓘ	Rs. 11

Note:

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Distribution



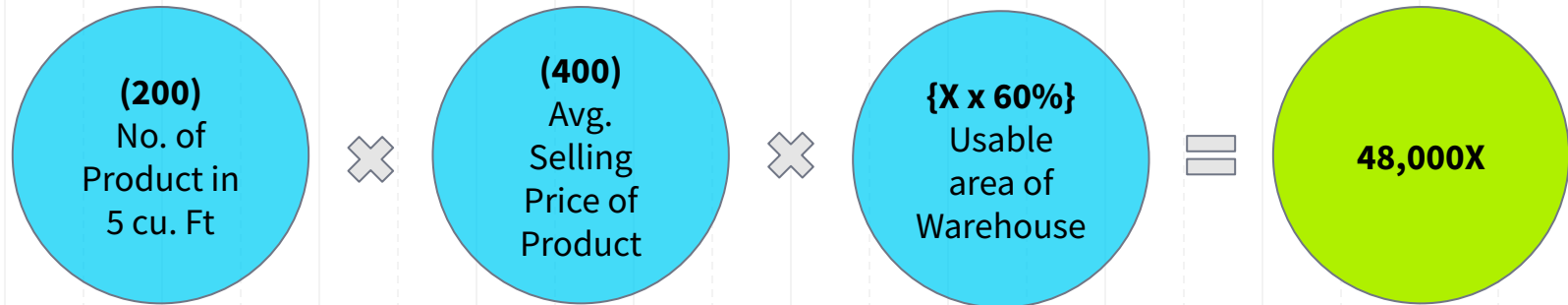
Distribution (Warehousing)

Let X sq.ft be the area of warehouse (Mumbai, Delhi, Hyderabad, Bangalore)

Rent- Rs. 20/sq. Ft

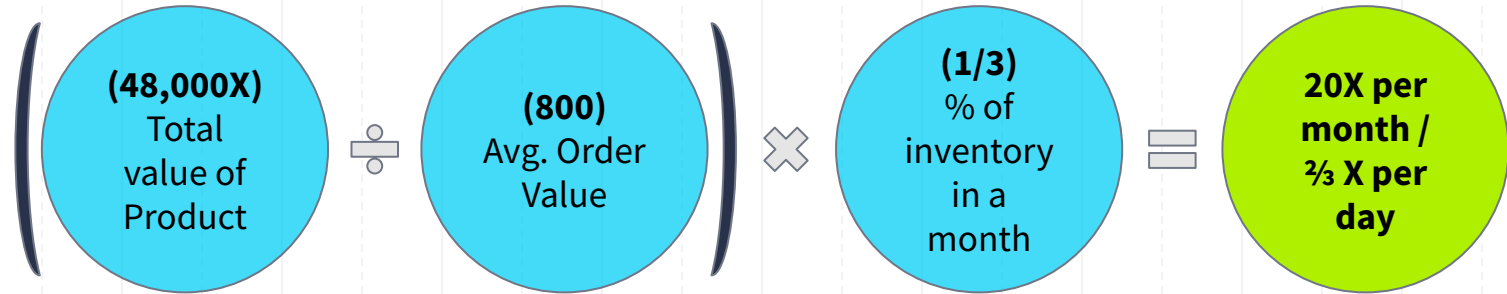
Price- Rs.1500/sq. Ft

Total value of Product in a warehouse:



Distribution (Warehousing)

Total No. of orders being shipped in a month/day



Cost of warehouse per month (utility of 5 yrs)



Distribution (Manufacturing & Packaging)

- This is an extensive directory of manufacturing companies in India
- Cost of setting up manufacturing unit - Y (Approximately 12cr)
- Packaging cost is mostly labor cost, assuming 1 labor can pack 200 packages a day.
- Total number of labors required would be $X/300$
- Total Amount can translate to $40X$, assuming 12000 rupees a month being the standard salary (With regards to market rate)



Distribution (Transportation)

Avg Size of a truck = 3000 cu. Ft

Avg order packing size = 0.3 cu. Ft

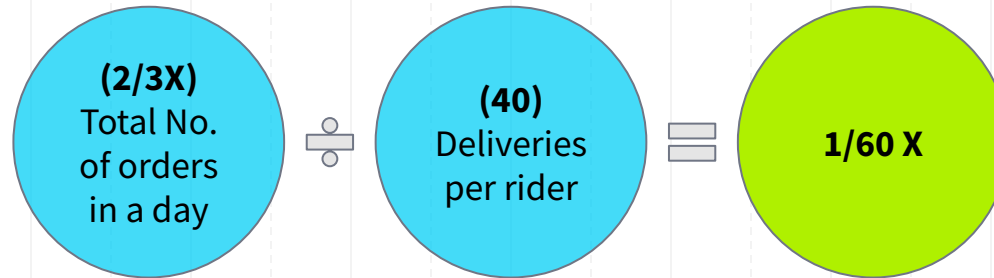
**No. of orders
per truck:
10,000**

**No. of Trips = $20X/10,000$
(Total No. of orders being shipped in a month/No. of orders per truck)**

Distribution (Last Mile)

Total No. of orders being shipped in a month/day = $20X$ per month / $\frac{2}{3} X$ per day

Delivery riders needed per day



Total amt. of rupees per month for delivery



Distribution Channels

36%

Of online consumers had purchased directly of social channels in the last year

- Instagram Shop
- Pinterest
- Meesho
- Shopsy
- Dealshare

95%

Of all purchasing will take place via ecommerce as per NASDAQ

- Amazon
- Flipkart
- Tata Neu
- Big Basket

45%

Website sales growth achieved by d2c brands due to the covid 19 pandemic

- Strong SEO
- Website Directed Ads
- Google Adsense
- Facebook Ads

Customer Pull

Brand Positioning:

Rethink products are an eco-friendly alternative to regular use products like cutlery, water bottles etc. They do not compete on the merit of monetary value but to its social value.

Marketing: The most preferred marketing channel is social media. Influencer marketing on Instagram is the number one strategy in this space for most brands. It is quickly followed by TikTok, YouTube Shorts and Instagram Reel. The shorter form of content is giving better rewards

Marketing Campaigns:

Rethink as a brand name can be a powerful marketing campaign. Plastic Toothbrush? No, Rethink. Use and throw water bottles? No, Rethink.

Lifetime Value (LTV):

17,000 rupees

Average Order Value:

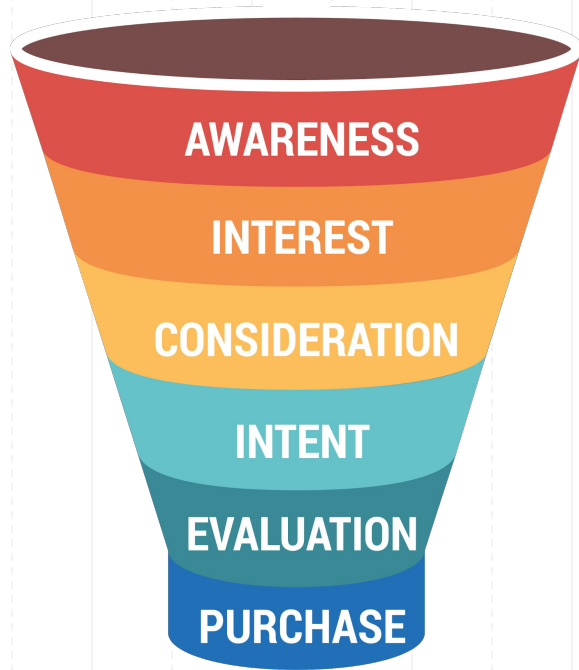
700 - 1000 rupees

Average Customer Acquisition cost (CAC):

For startups is 1400 rupees.



Customer Pull



The best way to bring about awareness is through organic and influencer marketing

Once the user is aware about the product offering, you bring in a sense of desire using either targeted advertising or powerful social media campaigns

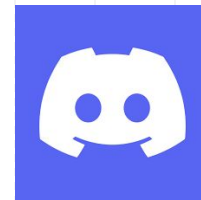
A great product often allows the user to tread down the remaining funnel on its own. However if you want to track the remaining behaviour, you would use ads. A lead generated through ads can be considered as consideration.

When a potential user takes a call to action, we can say that there is intent.

Visiting the website multiple times could be a sign of evaluation. However based on inbound data in real time an alternate metric can be used.

Customer Pull (Marketing)

≡ **tribe.**



Customer Pull (Marketing)

- Rethynk develops or produces goods that are not commonly something the audience cares about. They can come up with funny and catchy ideas that can enable them to engage with their customers: low-budget YouTube videos, social causes linked to products strategies and, above all, any unorthodox and unexpected way of connecting with people can prove to be tremendously effective.
- Companies that are definitely willing to get past taboos and highlight what consumers and people in general usually prefer to ignore will definitely draw a lot of attention. Such is the tactic commonly used by charities and non-profit organization that, depending on the cause, use violent and strong visual material in order to raise awareness and move some fibers within the audience.
- Selling products and services based on emotions, and not on rational arguments, sometimes, when carried out properly, presupposes a commercial advantage.
- Encourage your customer base to ask questions, address concerns, and to put their own flavor on your project.



Customer Pull (Marketing)

- Try not be too focused on just explaining what your product does, but rather taking a step back to show how your brand fits into the bigger picture.
- Create an award that recognizes someone for their efforts in helping the environment, such as a college student who started a movement to clean up her hometown beach.
- Collect user-generated content like-
 - Hold a contest for user-generated content. Offer them a tangible prize as an incentive.
 - Encourage followers to use a branded hashtag. Make sure that the hashtag is unique or features your brand name.
 - Have a “Featured Followers” spotlight. Regularly reach out to followers and ask permission to repost their content on your feed.
 - Invite an influencer to do an account takeover. Choose somebody trustworthy who makes high-quality content.
 - Make your products Instagram-friendly. For instance, look at the Share a Coke campaign, with its customized bottles that people love to show off.

Customer Pull (Advertising)



- Focus on strong SEO but do not neglect ads
- Average ad should not cost more than rupees 30 per lead
- Ensure using right keywords and bid only after ensuring low DA and PA of top ranking companies.
- Hire a marketing manager early to reduce loss



- Facebook ads is the strongest tool for d2c brands
- Average ad costs 30 rupees per lead
- Highest targeted reach (both insta and fb)
- CTA can be either through website or to instagram shop
- Analytical, data driven approach

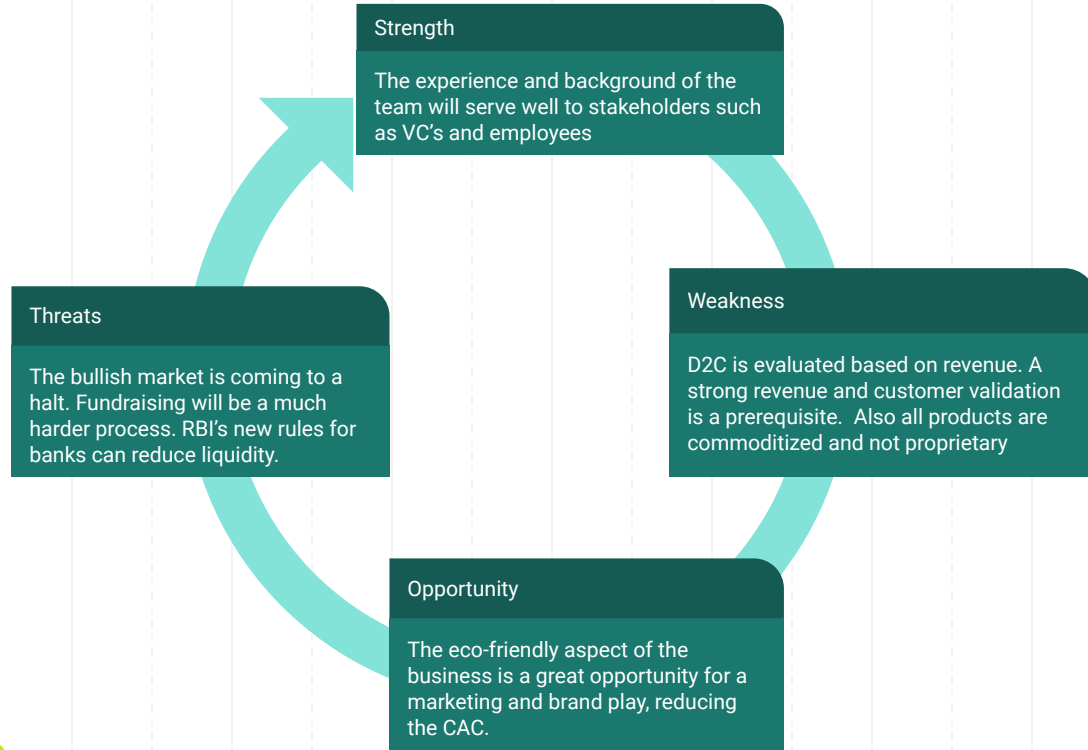


- Amazon Advertising is a new option for various d2c brands
- Most multinational brands have also not cracked the code when it comes to amazon advertising.
- It is the advertising platform closest to end of the marketing funnel
- Average cost per lead is 110

Competitive Landscape



SWOT Analysis



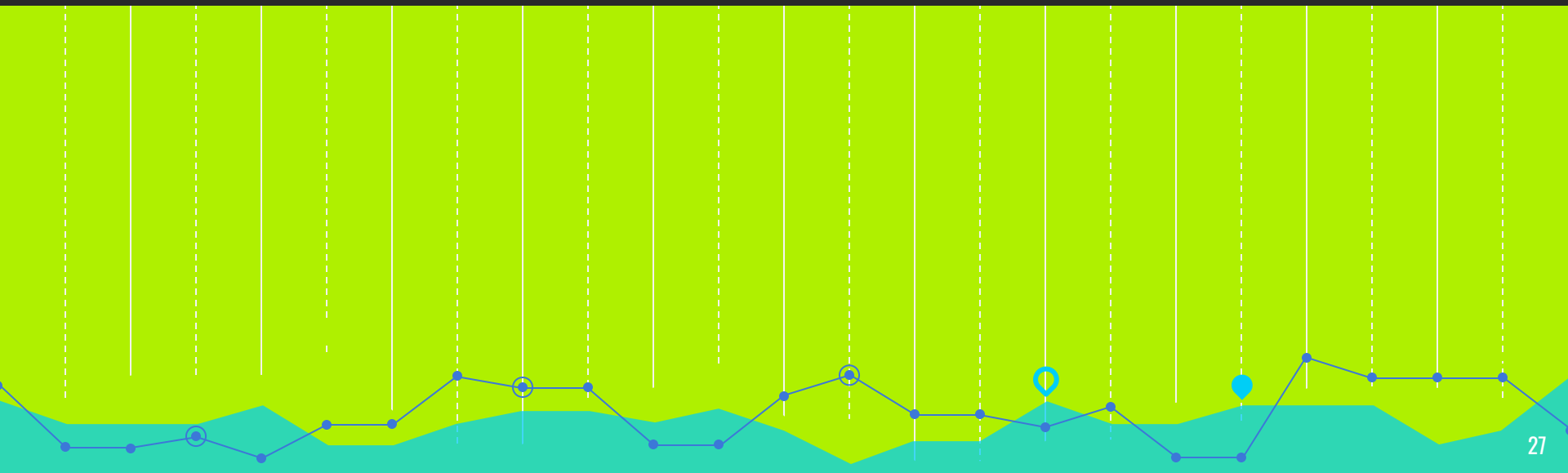
METRICS

Metric Chosen	Metric Meaning	Metric Significance
Revenue	Total Income produced	Growth
Customer Acquisition Cost	Cost of acquiring 1 customer	Growth/Unit Economics
Lifetime Value	Total amount spent by 1 customer in its lifetime	Retention/Unit Economics
Average Order Value	Average spent by a customer in 1 order	Unit Economics
M4/M2	If a orders the second time within an average next order time, the metric of number of users who order 4 times to those who have only ordered twice in 4 average next order time.	User Happiness/Retention

METRICS

Metric Chosen	Metric Meaning	Metric Significance
Monthly Burn Rate	Total Monthly Expenditure	Unit Economics
Average Next Order Time	Average time duration between two consecutive orders	Engagement/ Unit Economics
MoM Growth	Percentage growth in revenue in consecutive months	Growth

Market Entry - B2B



Introduction

Market Size

- Market Size of Corporate Gifting - \$242 Billion
- Market Size of Corporate Gifting in India - INR 12,000 Crores
- Market Growth Rate - 200% p.a.
- Number of Major Corporate Gifting brands in India - 30

Scope of this Presentation

- Identifying potential Customers
- Redefining Value Chain
- Understanding of the competitive landscape
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- Recommendations



Target Market



User Persona: Rohan is a 35 year old HR Head at a mid-size company in Bangalore. He is responsible for corporate gifting in his company. Every year he tries to onboard a corporate gifting partner. This year he is looking for some eco-friendly corporate gifting firm for internal PR as well as the aligning with CSR plan of the company.

User Characteristics:

Age: HR heads of the age group 25 to 40 that are responsible for the corporate gifting in their company

Initiative: The frequency and type of initiatives taken by the HR head would matter a lot. The people taking more eco-friendly initiatives are more likely to take part

Social Media Activity: Social media usage decreases the barrier to entry in many cases as influencers often back eco-friendly products.

Company Characteristics:

Size: Medium and large sized enterprises would be interested in getting corporate gifting deals and plans

Existing corporate gifting program: The companies having an already existing corporate gifting program and looking for more products to include in their program

CSR initiatives: The companies looking forward to fulfill their CSR initiatives and do internal PR by promoting eco-friendly products

Background Data

- As per Forbes India, Corporate gifting budgets got a boost because of Covid. The amount spent on a per gift basis is also surprisingly high. Most spent between \$25 and \$125 on a corporate gift, with the largest percentage reporting the sweet spot between \$75 and \$100
- As per a study conducted by Coresight Research, over 80% said gifts have improved relationships with employees and/or clients, with 48% saying gifting delivered a substantial benefit.
- One of the most important elements driving the growth of personalised giving in India is the western influence.
- During festivals like Diwali, Christmas, and New Years, larger market players and MNCs have introduced the concept of corporate giving to their staff
- From the end of 2021, 22% of the median corporate gift budget rise is attributed to gifts for employees
- As per social.com, after receiving a promotional gift, 66% of people are able to recall a brand name after a year



Value Chain

Production

Distribution

Customer Pull



Production

- As per a case study by Kearney, **sustainable products** which provide more environmental and social benefits than conventional products do, are an average of **75 to 85 percent more expensive**
- The most expensive categories of sustainable products are **fashion, beauty, and health**
- Consumers are willing to pay more if they know the reasons. Back in 2015, **66 percent** were willing to pay more. Today, that number has reached **80 percent**.
- **Millennials** (ages 22 to 35) and **Generation Z** (ages 16 to 21) in developing countries are willing to pay the highest markups
- Even if customers want to shop with sustainability in mind, many cannot afford or simply do not want to spend so much more. This causes a gap between consumers' stated intention to act sustainably and their actual behaviors and this gap is known as the “**green gap**”
- The costs of sustainability are mainly in production, but they account for the smallest amount of a product's cost accounting for only 10 to 30 percent of the final product cost

Production

	Product	INR Landing Cost	Recommended Price	Gross Margin (%)	Net Margin (%)
1	Collapsible Bottles	341	1000	193.25	184.45
2	Collapsible Cups	290	800	175.86	165.51
3	Collapsible Cutlery	445	1300	192.13	185.39
4	Collapsible Straws	160	425	165.62	146.87
5	Makeup Wipes	252	750	197.61	185.71
6	Reusable Toothbrush (Aluminium Base + 1 bamboo head)	120	350	191.66	166.66
7	Reusable Toothbrush Replacement Heads (Set of 2)	110	200	81.81	54.54

Production

	Product	Manufacturing In India	Recommended Price	Gross Margin (%)	Net Margin (%)
1	Collapsible Bottles	180	1000	455.55	438.88
2	Collapsible Cups	200	800	300	285
3	Collapsible Cutlery	350	1300	271.42	262.85
4	Collapsible Straws	150	425	183.33	163.33
5	Makeup Wipes	280	750	167.85	157.14
6	Reusable Toothbrush (Aluminium Base + 1 bamboo head)	120	350	191.66	166.66
7	Reusable Toothbrush Replacement Heads (Set of 2)	48	200	316.66	254.16

Distribution (Shiprocket)



500-3000

Monthly Orders

Inbound Cost ⓘ	Rs. 3000
Outbound Cost ⓘ	Rs. 6000
Packaging Cost ⓘ	Rs. 2000
Per order cost ⓘ	Rs. 22

Note:

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3000-10000

Monthly Orders

Inbound Cost ⓘ	Rs. 17495
Outbound Cost ⓘ	Rs. 31491
Packaging Cost ⓘ	Rs. 13996
Per order cost ⓘ	Rs. 18

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10000+

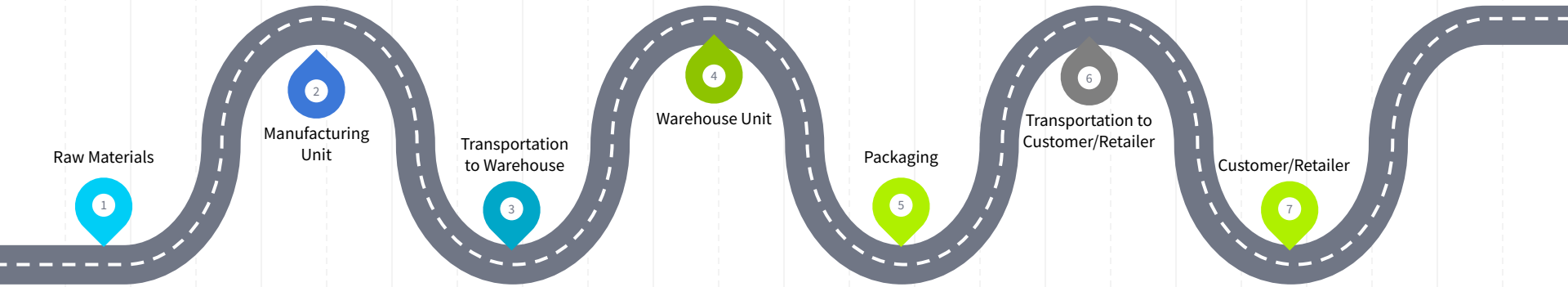
Monthly Orders

Inbound Cost ⓘ	Rs. 40004
Outbound Cost ⓘ	Rs. 70007
Packaging Cost ⓘ	Rs. 40004
Per order cost ⓘ	Rs. 11

Note:

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Distribution



Channels of Distribution

- There can be various different channels to reach out to different businesses for distribution of shift eco's products
- The primary channels can be through LinkedIn outreach through posts, in-mail and promotion to attract more and more businesses for using shift eco's corporate gifting program
- Another channel that shift eco should be targeting is through email marketing and maintaining a newsletter with a decent emailing list
- Shift Eco should look for different partnerships with various different businesses for smooth distribution of their products and increasing the outreach
- Another very important aspect that needs to be taken care of is SEO and social media marketing
- Shift Eco should build an India specific SEO strategy along with new social media marketing guidelines that they will be following in the Indian market

Customer Pull

Brand Positioning:

Rethynk products are a premium eco-friendly products. They can help corporate make a strong statement about their values and beliefs. They do not compete on the merit of monetary value but to its social value.

Marketing:

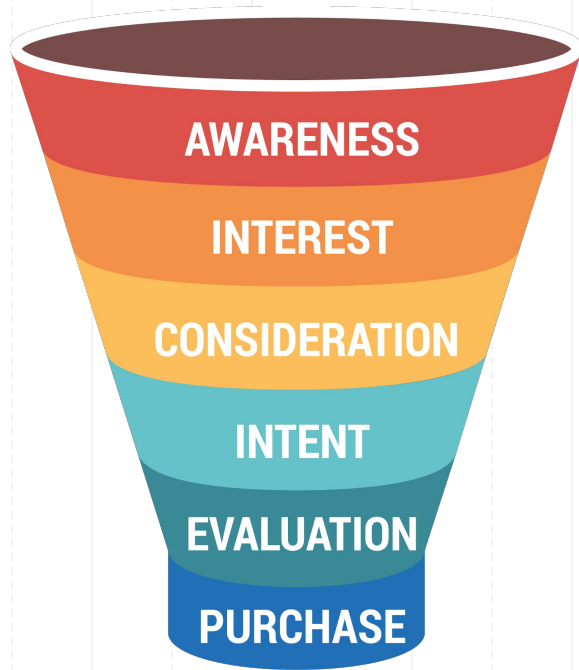
The preferred marketing channel is through social media like- LinkedIn. Through referrals on Rethynk website by previous customers. By Company branded product portals, and through events like- Trade shows and conferences.

Marketing Campaigns:

Rethynk as a brand name can be a powerful marketing campaign. B2B markets need a mix of both Push and Pull strategy



Customer Pull



The best way to bring about awareness is through organic and influencer marketing

Once the user is aware about the product offering, you bring in a sense of desire using either targeted advertising or powerful social media campaigns

A great product often allows the user to tread down the remaining funnel on its own. However if you want to track the remaining behaviour, you would use ads. A lead generated through ads can be considered as consideration.

When a potential user takes a call to action, we can say that there is intent.

Visiting the website multiple times could be a sign of evaluation. However based on inbound data in real time an alternate metric can be used.

Customer Pull (Marketing)

B2B markets need a mix of both Push and Pull strategy, limiting your strategy to only pull will reduce your market

Pull tactics for B2B markets-

- Use social media to distribute your content to followers, and invite them to share it with their networks.
- Using SEO and SEM can help pull them to your site and the content when prospects are looking for particular products
- PR, or media relations, to persuade others to write interesting things about your products, or to highlight your expertise and experience in the market.
- Creating informative, non-salesy content in the form of Blogs, Downloadable contents, videos, infographics which can educate all comers on how to solve their problems, and tell them what a great partner you can be in helping them.

Customer Pull (Marketing)

Push tactics for B2B markets-

- Using Direct mail, including dimensional mail. Keeping in mind the list of businesses with partnering opportunities, you can just find every prospect using mailing lists.
- Directly calling them, using the same lists can help you push your services to them
- Advertising, online and offline with a strong call to action to generate leads.
- Piggy bag channel for reach can be used to help in increasing reach and leverage other brands. Large companies such as coffee chains can be convinced to have a tie up to help them have a image to be promoting eco-friendly products.
- Using Event marketing, such as trade shows and conferences, where you can not only make relationships with with new prospects but also can convey your expertise through engagement

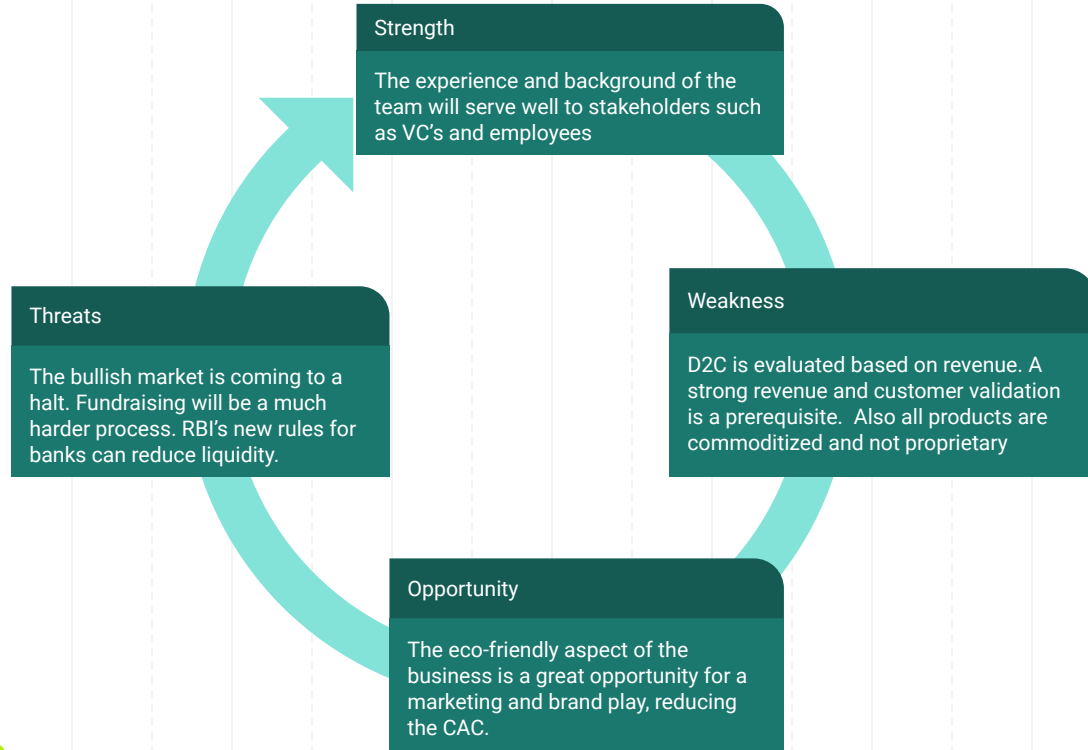
Competitive Analysis



no nasties +
PLANET POSITIVE CLOTHING



SWOT Analysis



Recommendations

